



EAST AFRICAN CABLES PLC

OVERVIEW OF 2024 PERFORMANCE

East African Cables PLC (“Group and Company”) is pleased to release audited financial statements for the year ended 31st December 2024.

The Group and Company recorded 2% and 4%, increase in revenue respectively. The increase in revenue was attributed to new products, new market channels and growing demand in our core markets driven by customer centric initiatives. Group revenue growth rate lagged behind the company, as a result of the low performance in the Tanzania subsidiary. We continue to focus on product innovation, value-added products, and cost management through implementation of Total Performance Management (TPM) Program to sustain the growth momentum.

Group EBITDA improved by 1,007% to a +ve KShs 179 million compared to the previous year’s -ve KShs 20 million. This is attributable to improved Gross Profit, better cost management and reduced impairments. Despite the improved performance, the Group recorded a loss after tax of KShs 358.76 million compared to KShs 301.88 million in the previous year as a result of increased finance costs.

The Group remains focused on building a robust pipeline and regional expansion with great strides already made in these areas including products and market channel innovations to drive growth. Addressing financing challenges remains a key focus to support topline growth and optimize financing cost.

Debt Resolution

The Group continues to actively pursue amicable resolution of the ongoing legal challenges with the main lender to ensure minimal disruption of our operations and focus on topline growth. Various initiatives are being pursued to settle the outstanding debt including subsidiary divestiture, sale of non-operating assets and support from the parent company, TransCentury Plc in mobilizing financing. As we continue to pursue debt settlement initiatives, the Group and company remain committed to enhancing performance to boost internally generated cashflows, ensuring the financial sustainability of the business.

Dividend

The board does not recommend payment of a dividend.

Outlook

Our business remains resilient recording remarkable growth over the last 5 years. The board and management are confident that the turn-around initiatives being implemented will continue yielding positive results. Despite some negative macros, demand from our core markets continues to grow creating more opportunities for the business. Our focus on product innovation and market channels enhancement continue to give us access to new markets, improved margins and competitive edge. As we lock in the various gains achieved and progressively resolve legacy issues, we are confident of sustaining revenue growth and increase in profitability.

By Order of the Board
Virginia Ndunge

Company Secretary
Nairobi

25th April 2025

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2024		
	2024 KShs'000	2023 KShs'000
Cash generated from operations	552,402	231,133
Income taxes paid	(1,318)	(3,649)
Cash flows generated from operating activities	551,084	227,484
Cash flows from investing activities		
Purchase of property, plant and equipment	(2,580)	(3,913)
Net cash used in investing activities	(2,580)	(3,913)
Cash flows from financing activities		
Repayment of bank loans and borrowings	(57,296)	(77,019)
Interest accrued	(428,457)	(170,262)
Dividends paid	(849)	(252)
Net cash used in financing activities	(486,602)	(247,533)
Net decrease in cash and cash equivalents	(61,902)	(23,962)
Cash and cash equivalents at 1 January	105,259	129,221
Cash and cash equivalents at 31 December	43,357	105,259

SUMMARY DIRECTORS' REMUNERATION REPORT

During the year, directors remuneration (executive and non-executive) amounted to KShs 41.33 million (2023 – KShs 42.28 million).

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2024		
	2024 KShs'000	2023 KShs'000
Revenue	2,566,273	2,524,553
Cost of sales	(1,810,390)	(1,854,293)
Gross profit	755,883	670,260
Other income	12,617	20,717
Factory expenses	(159,661)	(152,740)
Administrative expenses	(331,594)	(459,413)
Selling and distribution expenses	(98,352)	(98,546)
Profit/(loss) before depreciation, impairment and finance costs	178,893	(19,722)
Impairment (loss) / writeback on trade receivables and contract assets	(29,537)	2,423
Depreciation and amortisation	(190,032)	(194,385)
Results from operating activities	(40,676)	(211,684)
Interest expense	(482,952)	(337,034)
Exchange (losses) / gains	(12,801)	93,787
Net finance costs	(495,753)	(243,247)
Loss before income tax	(536,429)	(454,931)
Income tax credit	177,667	153,054
Loss for the year	(358,762)	(301,877)
Other comprehensive income Items that are or may reclassified to profit or loss:		
Re-measurement gain on retirement benefit plan	1,524	9,864
Deferred tax effect on remeasurement gain	(457)	(2,959)
	1,067	6,905
Foreign currency translation differences on foreign operations	(11,297)	(47,984)
Total other comprehensive income	(10,230)	(41,079)
Total comprehensive income for the year	(368,992)	(342,956)
Loss for the year attributable to:		
Owners of the company	(248,557)	(205,621)
Non-controlling interest	(110,205)	(96,256)
	(358,762)	(301,877)
Total comprehensive income attributable to:		
Owners of the company	(282,887)	(226,109)
Non-controlling interest	(86,105)	(116,847)
	(368,992)	(342,956)
Basic and diluted earnings per share	KShs (0.98)	KShs (0.81)

The financial statements were approved and authorised for issue by the Board of Directors on 25 April 2025 and were signed on its behalf by:

Amb. D Awori
Chairman

P Muigai
Chief Executive Officer and Managing Director

A full copy of the Group financial statements including explanatory notes is available on our website www.eacables.com

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2024								
	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Retained earnings KShs '000	Foreign currency translation reserve KShs'000	Total equity attributable to equity holders of company KShs'000	Non- controlling interest KShs'000	Total equity KShs'000
2024								
Balance at 1 January 2024	126,563	545	2,023,209	(1,460,785)	(149,702)	539,830	(173,384)	366,446
Loss for the year	-	-	-	(248,557)	-	(248,557)	(110,205)	(358,762)
Other comprehensive income Items that are or may be reclassified to profit or loss:								
Re-measurement gain on defined benefit plan	-	-	-	(384)	-	(384)	1,908	1,524
Deferred tax	-	-	-	115	-	115	(572)	(457)
Foreign currency translation differences on foreign operations	-	-	-	-	(34,061)	(34,061)	22,764	11,297
Total other comprehensive income	-	-	-	(269)	(34,061)	(34,330)	24,100	(10,230)
Total comprehensive income for the year	-	-	-	(248,826)	(34,061)	(282,887)	(86,105)	(386,992)
Balance at 31 December 2024	126,563	545	2,023,209	(1,709,611)	183,763	256,943	(259,489)	(2,546)
2023								
Balance at 1 January 2023	126,563	545	2,023,209	(1,260,654)	(123,724)	765,939	(56,537)	709,402
Loss for the year	-	-	-	(205,621)	-	(205,621)	(96,256)	(301,877)
Other comprehensive income Items that are or may be reclassified to profit or loss:								
Re-measurement gain on defined benefit plan	-	-	-	7,843	-	7,843	2,021	9,864
Deferred tax	-	-	-	(2,353)	-	(2,353)	(606)	(2,959)
Foreign currency translation differences on foreign operations	-	-	-	-	(25,978)	(25,978)	(22,006)	(47,984)
Total other comprehensive income	-	-	-	5,490	(25,978)	(20,488)	(20,591)	(41,079)
Total comprehensive income for the year	-	-	-	(200,131)	(25,978)	(226,109)	(116,847)	(342,956)
Balance at 31 December 2023	126,563	545	2,023,209	(1,460,785)	(149,702)	539,830	(173,384)	366,446



East African Cables
Total peace of mind

REPORT OF THE INDEPENDENT AUDITOR ON THE SUMMARY FINANCIAL STATEMENTS AND THE SUMMARY DIRECTORS' REMUNERATION REPORT TO THE MEMBERS OF EAST AFRICAN CABLES PLC

Opinion

The summary financial statements, which comprise the summary consolidated statement of financial position as at 31 December 2024, the summary consolidated statement of profit or loss and other comprehensive income, the summary consolidated statement of changes in equity and summary consolidated statement of cash flows for the year then ended, are derived from the audited financial statements of East African Cables Plc for the year ended 31 December 2024.

The summary directors' remuneration report is derived from the auditable part of the directors' remuneration report for the year ended 31 December 2024.

In our opinion, the accompanying summary financial statements and the summary directors' remuneration report are consistent, in all material respects, with the audited consolidated financial statements and the auditable part of the directors' remuneration report, in accordance with the Kenyan Companies Act, 2015.

Summary financial statements and summary directors' remuneration report

The summary financial statements do not contain all the disclosures required by the International Financial Reporting Standards and in the manner required by Kenyan Companies Act, 2015. In addition, the summary directors' remuneration report does not contain all the disclosures required by the Kenyan Companies Act, 2015. Reading the summary financial statements, the summary directors' remuneration report and the auditors' report thereon, is not a substitute for reading the audited consolidated financial statements, the directors' remuneration report and the auditors' report thereon.

The audited consolidated financial statements, directors' remuneration report and our report thereon

We expressed an unmodified audit opinion on the audited consolidated financial statements in our report dated 25 April 2025 and also confirm that the auditable part of the directors' remuneration report was prepared in accordance with the Kenyan Companies Act, 2015. That report also includes:

- A Material Uncertainty Related to Going Concern section that draws attention to Note 2(f) of the audited consolidated financial statements. Note 2(f) of the audited consolidated financial statements indicates that East African Cables Plc incurred a loss of KShs 358.76 million during the year ended 31 December 2024 and as of that date, the current liabilities exceeded current assets by KShs 2,677.49 million. These events or conditions, along with other matters as set forth in Note 2(f) of the audited consolidated financial statements, indicate that a material uncertainty exists that may cast significant doubt on East African Cables Plc's ability to continue as a going concern. These matters are addressed in Note 2(f) of the audited consolidated financial statements.
- The report also includes the communication of other key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period.

Directors' responsibility for the summary financial statements and summary directors' remuneration report

The directors are responsible for the preparation of the summary financial statements and the summary directors' remuneration report in accordance with the Kenyan Companies Act, 2015.

Auditor's responsibility

Our responsibility is to express an opinion on whether the summary financial statements are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), *Engagements to Report on Summary Financial Statements*.

*The engagement partner responsible for the audit resulting in this independent auditor's report is **CPA Elvis Ogeto – Practicing Number 2303***

For and on behalf of
RSM Eastern Africa LLP
Certified Public Accountants
Nairobi

Date: 25 April 2025